

fixed deposits (FDs) of ZEEL by YES Bank for squaring off loans of related entities of Essel Group.

According to Sebi, Chandra, the then chairman of ZEEL and Essel Group, had provided a 'Letter of Comfort' (LoC) towards credit facilities availed by certain group companies from YES Bank in September 2018. This LoC was known only to a few persons in the management and even ZEEL's board was unaware, Sebi stated in the order.

"This is with regard to the ₹200-crore loan outstanding in Essel Green Mobility Ltd from YES Bank. We will ensure that a fixed deposit of at least ₹200 crore is available with YES Bank from any one of Essel Group of companies (including Zee Entertainment Enterprises Ltd) at all times whilst the said facility remains due and outstanding and that in the event of default under the said facility, you may appropriate the fixed deposit towards repayment of the said facility," stated the LoC.

Based on this LoC, YES Bank adjusted ZEEL's ₹200-crore FD against payment obligations of seven entities—Pan India Infra-projects, Essel Green Mobility, Essel Corporate Resources, Essel Utilities Distribution Company, Essel Business Excellence Services, Pan India Network Infravest, and Living Entertainment Enterprises.

These entities were either owned or controlled by family members of Chandra or Goenka—ZEEL's annual report for financial year 2019-20 (FY20) mentioned that the seven entities were companies controlled by key management personnel (KMP) and their relatives. The KMPs included Chandra and Goenka.

However, detailed analysis of bank statements showed that the money repaid to ZEEL actually originated from the company itself or other listed firms of Essel Group, Sebi said in its interim order.



L'AFFAIRE ZEE

▶▶ Sebi has issued an interim order barring Zee promoters Subhash Chandra and Punit Goenka from holding directorships in any listed entity

▶▶ The order alleges that the duo abused their position in the company and siphoned off funds for their own benefit

▶▶ Sebi alleged that Chandra (then the chairman of Zee Entertainment Enterprises Ltd and Essel Group) offered a 'Letter of Comfort' (LoC) towards credit facilities availed by group companies from YES Bank

▶▶ Based on this LoC, YES Bank adjusted ZEEL's ₹200-crore fixed deposit against payment obligations of seven group entities

▶▶ Chandra and Goenka have challenged the Sebi order in the Securities Appellate Tribunal (SAT); the tribunal has refused interim relief, setting a date of June 26 for further hearing in the matter

According to Sebi, at least ₹143.90 crore had been transferred from ZEEL or other listed companies of Essel Group to falsely portray repayment of due amounts to ZEEL from the seven entities.

Incidentally, this is not the first time that Goenka has been under the regulatory scanner. Only in April, Goenka settled investigations against him by paying ₹50.7 lakh. That matter related to a probe for alleged failure to put in place adequate internal controls within the company

to identify unpublished price sensitive information (UPSI) and identify certain information as UPSI. It started in September 2020, when ZEEL announced the launch of ZEEPLEX, a pay-per-view service to watch movies.

Since the announcement came during the Covid-19 lockdown, it was viewed in a positive light for the company, and as a material development per Sebi, hence qualifying it to be UPSI. The company, however, failed to identify the development as UPSI, which led Sebi to initiate investigations under the Sebi (Prohibition of Insider Trading) Regulations, 2015.

The insider trading regulations state that top officials like MDs or CEOs, among others, have to put in place internal control systems to ensure compliance with the regulations to prevent insider trading.

Goenka, Chandra's eldest son, was the MD and CEO of the company when the ZEEPLEX announcement was made. Hence, he was issued a show-cause notice on December 22, 2022.

The current developments at the SAT assume significance also because Zee is in the midst of a high-profile merger with Sony Pictures Networks India and any adverse regulatory order could hamper this. **BT**

@ashishrukhaiyar